

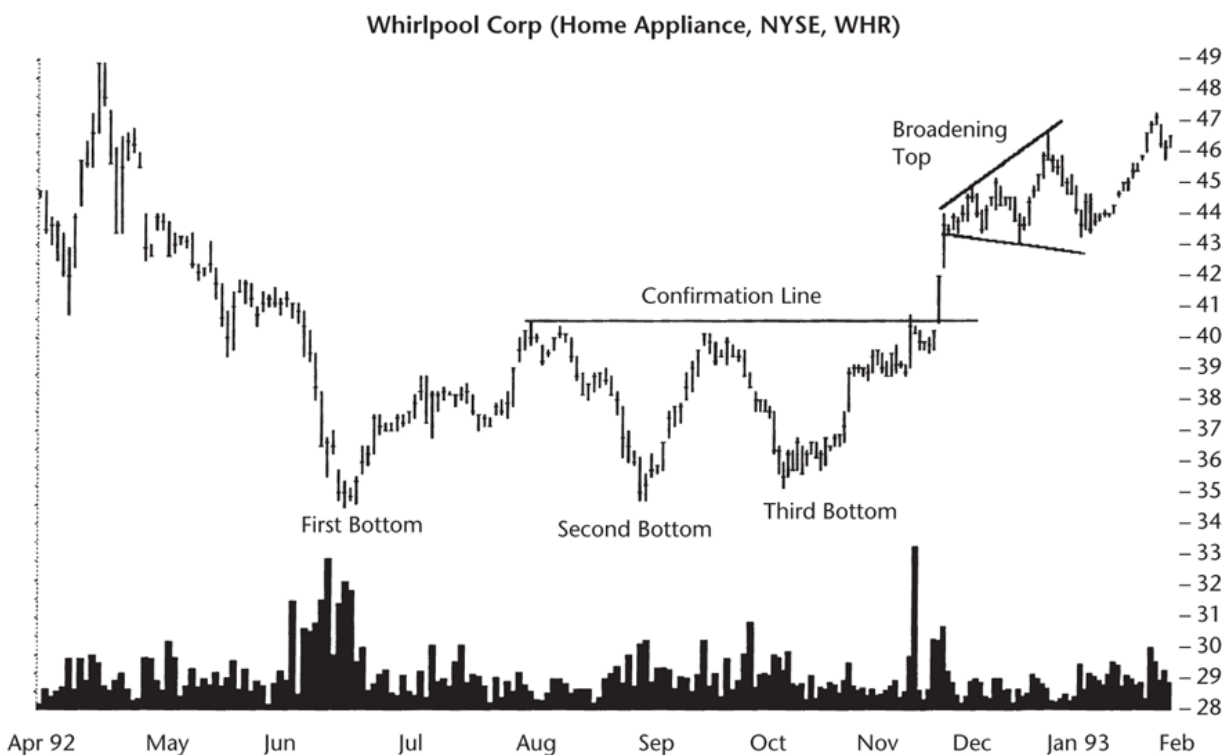


Figure 67.2 A triple bottom with three widely spaced, distinct troughs. A broadening top appears in mid-November.

The figure shows price on the far left of the chart well above the first bottom so that the price trend is downward to the first bottom.

Same price. Look for three valleys that bottom at or near the same price. Sometimes you'll see the middle valley slightly above the other two, which makes it easy to assign the triple bottom name to the pattern.

When the middle valley is below the other two, then you have to gauge if it's far enough below the adjacent valleys to call the pattern a head-and-shoulders bottom. It's a judgment call. Use the figures in this chapter for guidance of what to look for.

Volume. The volume trend usually recedes over the course of the pattern. Since triple bottoms tend to be long patterns, volume can appear ragged or irregular at times. Each of the three bottoms usually shows volume that peaks above the days leading to the bottom, with the first bottom usually having the highest volume of the trio. Don't discard a chart pattern because the volume pattern looks weird.